

How to Use Your Section 179 Planner

SKU TAX-009 • SECTION 179 PLANNER

Walks through eligibility for **Section 179 expensing** — the rule that lets you deduct the full cost of qualifying business assets in the year you buy them, instead of depreciating over 5/7/15 years. Plus the **bonus depreciation** alternative (40% in 2026, phasing down to 0% by 2028).

Quick test: Did you buy a hot tub, appliance, smart TV, vehicle > 6,000 lb GVWR, security system, or furniture for the rental this year? You probably want to run this.

Wizard flow (8 tabs)

Two files:

- **DEMO** — 5 sample assets (hot tub, sofa, TV, vacuum, pickup truck) totaling \$55,600. Expected total §179 = ~\$43K (income-limited).
- **BLANK** — your assets.

Step 1 — Eligibility (tab 1)

3 yes/no:

- Active trade/business? (Y/N — Schedule C is automatic; Schedule E requires active participation)
- Schedule classification (E or C)
- Listed property usage > 50%? (drives if §179 allowed for vehicles)

Step 2 — Asset List (tab 2)

Per asset (up to 15):

- Description (be specific — "Hot tub, 8-person, installed" not "Backyard stuff")
- MACRS class (5/7/15/27.5/39 yr — dropdown)
- Cost
- Date placed in service
- % business use
- Vehicle? (Y/N — adds caps)

Step 3 — Election Per Asset (tab 3)

For each asset, pick: §179 / Bonus / MACRS regular.

Decision rule of thumb:

- **\$179** when you have profit to absorb the deduction this year (income-limited)
- **Bonus depreciation** when §179 cap is exhausted or business has a loss (bonus has no income limit; 40% in 2026)
- **MACRS** when neither matters or the asset class isn't bonus-eligible (>20-yr recovery)

Step 4 — Income Limitation (tab 4)

Net business income before §179. §179 deduction CANNOT exceed this number — excess carries forward indefinitely.

The 2026 cap is **\$1,250,000** with a phase-out starting at **\$3,130,000** in total purchases. (Most STR hosts never hit either.)

Step 5 — Form 4562 Map (tab 5)

Auto-built. Mirrors Form 4562 Part I (§179) + Part II (Bonus). **Print this** for your CPA.

Step 6 — Launch (tab 6)

Total deduction summary + Form 4562 print packet + carryover figures.

Schedule routing

- Schedule C filers → Form 4562 → Schedule C Line 13
- Schedule E filers → Form 4562 → Schedule E Line 18

Schedule E + residential rental real estate: §179 is NOT allowed on the building itself, but IS allowed on personal-property assets used in an active rental business (appliances, furniture, etc.).

Vehicle caps

Vehicle > 6,000 lb GVWR but ≤ 14,000 lb → §179 cap = \$20,400 (2026). Lighter vehicles have lower caps. Workbook applies automatically when you mark Vehicle = Y.

Questions?

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Upgrade path: Tax Season Bundle (\$147) at thestrledger.com/tax-bundle — Schedule E + Schedule C + Mileage + 1099 + Home Office + Section 179 + Quarterly Estimateds + Per-Diem.

Get on our list at thestrledger.com/47 for our free "47 Airbnb Tax Deductions Most Hosts Miss" guide.
